



Date: 10/27/2021

Attn: Rob Bowen
78 Brookside Ave, Ste 132B
Chester, NY 10918

Named Insured: Kestrel Works LLC

Effective Date: 10/27/2021 to 10/27/2022

Policy Number: 21SSJ231PF3405

Please find enclosed electronic policy set for:

17 Canterbury Court
Hopewell Junction, NY 12533

If after reviewing you find corrections are necessary, please bring those to my attention. Thank you for the opportunity to service your client.

In the event of a claim, please notify me at the following:

Sterling Surplus Underwriters

PO Box 176
Madison, MS 39130

em: brad@sterlingsu.com

fx: 888-645-1716

<https://backoffice.sterlingsu.com/submitclaim>

Sincerely,

A handwritten signature in blue ink, appearing to be "C. Brad Moncrief".

C. Brad Moncrief
Principal/Broker



LLOYD'S

Insurance effected through:
Sterling Surplus Underwriters
PO Box 176
Madison, MS 39130

This is to Certify that in accordance with the authorisation granted under the Contract (the unique market reference number of which is specified in the Declaration) to the undersigned by certain Underwriters at Lloyd's, whose names and the proportions underwritten by them, which will be supplied on application, can be ascertained by reference to the said Contract which bears the Seal of Lloyd's Policy Signing Office, and in consideration of the premium specified herein, the said Underwriters are hereby bound, each for his own part and not one for another, their Heirs, Executors and Administrators, to insure in accordance with the terms and conditions contained herein or endorsed hereon.

Notwithstanding anything to the contrary contained herein this Certificate does not cover Loss, Damage or Liability directly or indirectly occasioned by, happening through or in consequence of war, invasion, acts of foreign enemies, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, military or usurped power or confiscation or nationalisation or requisition or destruction of or damage to property by or under the order of any government or public or local authority.

The subscribing Insurers' obligations under Contracts of Insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing Insurers are not responsible for the subscription of any co-subscribing Insurer who for any reason does not satisfy all or part of its obligations.

If the Assured shall make any claim knowing the same to be false or fraudulent, as regards amount or otherwise, this Certificate shall become void and all claim hereunder shall be forfeited.

In Witness whereof this Certificate has been signed at the place stated and on the date specified in the Declarations by: Sterling Surplus Underwriters.

Sterling Surplus Underwriters.

Authorized Official

Please examine this Document carefully. If it does not meet your needs, return immediately. In all communications the Number appearing in line one of the Schedule should be quoted. In the event of loss or expense under this Insurance, immediate notice should be given to:

CERTIFICATE PROVISIONS

- 1. Signature Required.** This Certificate shall not be valid unless signed by the Correspondent on the attached Declaration Page.
- 2. Correspondent Not Insurer.** The Correspondent is not an Insurer hereunder and neither is nor shall be liable for any loss or claim whatsoever. The Insurers hereunder are those Underwriters at Lloyd's, London whose syndicate numbers can be ascertained as hereinbefore set forth. As used in this Certificate "Underwriters" shall be deemed to include incorporated as well as unincorporated persons or entities that are Underwriters at Lloyd's, London.
- 3. Cancellation.** If this Certificate provides for cancellation and this Certificate is cancelled after the inception date, earned premium must be paid for the time the insurance has been in force.
- 4. Service of Suit.** It is agreed that in the event of the failure of Underwriters to pay any amount claimed to be due hereunder, Underwriters, at the request of the Assured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States. It is further agreed that service of process in such suit may be made upon the firm or person named in item 6 of the attached Declaration Page, and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon request of the Assured to give a written undertaking to the Assured that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Assured or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the above-mentioned as the person to whom the said officer is authorized to mail such process or a true copy thereof.

- 5. Assignment.** This Certificate shall not be assigned either in whole or in part without the written consent of the Correspondent endorsed hereon.
- 6. Attached Conditions Incorporated.** This Certificate is made and accepted subject to all the provisions, conditions and warranties set forth herein, attached or endorsed, all of which are to be considered as incorporated herein.
- 7. Short Rate Cancellation.** If the attached provisions provide for cancellation, the table below will be used to calculate the short rate proportion of the premium when applicable under the terms of cancellation.

Short Rate Cancellation Table for Term of One Year.

Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium	Days Insurance in Force	Percent of one year Premium
1	5%	66-69	29%	154-156	53%	256-260	77%
2	6%	70-73	30%	157-160	54%	261-264	78%
3-4	7%	74-76	31%	161-164	55%	265-269	79%
5-6	8%	77-80	32%	165-167	56%	270-273	80%
7-8	9%	81-83	33%	168-171	57%	274-278	81%
9-10	10%	84-87	34%	172-175	58%	279-282	82%
11-12	11%	88-91	35%	176-178	59%	283-287	83%
13-14	12%	92-94	36%	179-182	60%	288-291	84%
15-16	13%	95-98	37%	183-187	61%	292-296	85%
17-18	14%	99-102	38%	188-191	62%	297-301	86%
19-20	15%	103-105	39%	192-196	63%	302-305	87%
21-22	16%	106-109	40%	197-200	64%	306-310	88%
23-25	17%	110-113	41%	201-205	65%	311-314	89%
26-29	18%	114-116	42%	206-209	66%	315-319	90%
30-32	19%	117-120	43%	210-214	67%	320-323	91%
33-36	20%	121-124	44%	215-218	68%	324-328	92%
37-40	21%	125-127	45%	219-223	69%	329-332	93%
41-43	22%	128-131	46%	224-228	70%	333-337	94%
44-47	23%	132-135	47%	229-232	71%	338-342	95%
48-51	24%	136-138	48%	233-237	72%	343-346	96%
52-54	25%	139-142	49%	238-241	73%	347-351	97%
55-58	26%	143-146	50%	242-246	74%	352-355	98%
59-62	27%	147-149	51%	247-250	75%	356-360	99%
63-65	28%	150-153	52%	251-255	76%	361-365	100%

Rules applicable to insurance with terms less than or more than one year:

- A.** If insurance has been in force for one year or less, apply the short rate table for annual insurance to the full annual premium determined as for insurance written for a term of one year.
- B.** If insurance has been in force for more than one year:
 - 1.** Determine full annual premium as for insurance written for a term of one year.
 - 2.** Deduct such premium from the full insurance premium, and on the remainder calculate the pro rata earned premium on the basis of the ratio of the length of time beyond one year the insurance has been in force to the length of time beyond one year for which the policy was originally written.
 - 3.** Add premium produced in accordance with items (1) and (2) to obtain earned premium during full period insurance has been in force.



FLOOD DECLARATIONS PAGE
(Form SLC-3 USA NMA 2868)

Policy #:	Prior Policy #:	Renewal:	Unique Market Ref:
21SSJ231PF3405	N/A	NO	B123021STE1355
Policy Period:	Term:	Inception Date:	
10/27/2021—10/27/2022 12:01am (LST)	12 months	10/27/2021 12:01am (LST)	

Agent: Rob Bowen
Patriotic Insurance Group
78 Brookside Ave, Ste 132B
Chester, NY 10918
Ph: 845-610-5700

Insured: Kestrel Works LLC
367 Windsor Highway
New Windsor, NY 12553

Insured Location: 17 Canterbury Court,
Hopewell Junction, NY 12533

Rating Information:

Flood Zone: AE	RCV Dwelling: \$269,400
Base Flood Elev: 268.52	Year Built: 1999
Lowest Floor Elev: 275.87	# of Floors: 2
LFE vs BFE: 7.35	Enclosure: unfinished

Coverage / Deductible:

Building: \$269,400 / \$5,000
Other Structures: \$26,940 / \$5,000
Contents: \$29,634 / \$5,000
Loss of Use: \$53,880 / 14-day deductible

Premium: \$822.00

Fees: \$35.00

Stamp: \$1.40

Taxes: \$29.59

Total: \$887.99

NO FLAT CANCELLATIONS
UNLESS REQUESTED BY UNDERWRITERS

25% Minimum Earned Premium —OR—
Minimum Earned Premium Endorsement

Forms and Endorsements attached hereto and special conditions:

Flood Wording | PPRCE | FLEND1 | FLEND2 | OFAC Notice | NMA2915 | LSW1135B | NYSID41C | NYSID-NELP

Service of Suit made upon:

Lloyd's America, Inc.
280 Park Ave, East Tower, 25th Flr
New York, NY 10017, USA

Notification of Claim to:

Sterling Surplus Underwriters ([Online Claim](#))
PO Box 176
Madison, MS 39130

Mortgage Detail:

LendingHome Funding Corp. ISAOA
PO Box 2552
Kennesaw, GA 30156
LOAN: 34287245

THE INSURER(S) NAMED HEREIN IS (ARE) NOT LICENSED BY THE STATE OF NEW YORK, NOT SUBJECT TO ITS SUPERVISION, AND IN THE EVENT OF THE INSOLVENCY OF THE INSURER(S), NOT PROTECTED BY THE NEW YORK STATE SECURITY FUNDS. THE POLICY MAY NOT BE SUBJECT TO ALL OF THE REGULATIONS OF THE DEPARTMENT OF FINANCIAL SERVICES PERTAINING TO POLICY FORMS.

Insurance is effective with:

STERLING SURPLUS UNDERWRITERS
Coverholder at:

LLOYD'S

Date: 10/27/2021

By: C. Brad Moncrief, Principal

NOTICE! This policy meets the definition of private flood insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

WRITTEN LINES

Facility Number: B123021STE1355 (Section 1)

Underwriters:

- Underwriters at Lloyd's: **100.00%**

TOTAL: 100.00 % of 100%

Lloyds Syndicates:

<u>Percentage</u>	<u>Syndicate</u>
100.0000%	0033 HIS



CERTIFICATION OF ADEQUACY OF PRIVATE FLOOD INSURANCE

Client Name: **Kestrel Works LLC**

Risk Address: **17 Canterbury Court**

City, State, Zip: **Hopewell Junction, NY 12533**

Flood Policy Number: **21SSJ231PF3405**

Flood Coverage Amount: **\$269,400.00**

This certification request is based upon the regulatory requirements in the "National Flood Insurance Program - Mandatory Purchase of Flood Insurance Guidelines ("Guidelines") - September 2007" page 58.

When private flood coverage is being considered in lieu of an NFIP policy, a lender should understand and comply with FEMA's criteria (described below) for selection of the private insurer and the form of coverage. A private flood insurance policy that meets all six of the mandatory flood insurance purchase requirements of the 1994 Reform Act. The Standard Flood Insurance Policy (SFIP) is available on the FEMA website at: <http://www.fema.gov/business/nfip/sfip.shtm>.

a. Licensure

The insurer must be licensed, admitted, or otherwise approved to do business in the jurisdiction where the building is located, by the insurance regulator of that jurisdiction, except as indicated in b. below.

b. Surplus Lines Recognition (Non-Residential Commercial)

In the case of non-residential commercial property insurance issued under a policy of difference in conditions, multiple peril, all risk, or other blanket coverage, the insurer should be recognized, or not disapproved as a surplus lines insurer by the insurance regulator of the jurisdiction where the building is located.

c. Requirement of 45-Day Cancellation / Non-Renewal Notice

The private flood insurance policy should include a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal to the insured with respect to the flood insurance coverage. The policy should also state that, to be effective, such notice must be mailed to both the insured and the lender or Federal agency lender, and must include information about the availability of flood insurance coverage under the NFIP. The policy should be as restrictive in its cancellation provision as the SFIP.

d. Breadth of Policy Coverage

The policy must guarantee that the flood insurance coverage considering deductibles, exclusions, and conditions offered by the insurer, is at least as broad as the coverage under the SFIP.

e. Strength of Mortgage Interest Clause

Lenders must ensure that a mortgage interest clause similar to that contained in the General Conditions Section of the SFIP is contained in the policy (not applicable to Residential Condominium Building Association Policies - see Guidance p.45)

f. Legal Recourse

The policy must contain a provision that any suit by the insured regarding denial of all or part of the claim must be filed within 1 year after the date of written denial of all or part of the claim.



YES — The undersigned certifies that this policy meets all of the FEMA standard requirements specified above. (see attached endorsements)



NO — This policy does not meet all of the FEMA standard requirements specified above. If NO, Lender Placement may occur unless an appropriate NFIP policy is received.

Insurance Company: **Sterling Surplus Underwriters**

Address: **PO Box 176, Madison, MS 39130**

Phone Number: **855-227-2202**

Email Address: **brad@sterlingsu.com**

Signature of Insurance Agent Completing Certification:



Insurance Agent's Printed Name: **C Brad Moncrief**

Agreement

We will provide the insurance described in this policy in return for the premium and compliance with all applicable provisions of this policy.

If the National Flood Insurance Program for flood insurance to dwellings provides broader coverage than that provided under this insurance, that broader cover will automatically apply to this policy without additional premium charge.

Definitions

- a. In this policy, **you** and **your** refer to the **named insured** shown in the declarations and the spouse if a resident of the same household. **We, us** and **our** refer to the company providing this insurance.
- b. In addition, certain words and phrases are defined as follows:
 1. **Business** means:
 - a. a trade, profession or occupation engaged in on a full-time, part-time or occasional basis; or
 - b. any other activity engaged in for money or other compensation, except the following:
 1. one or more activities, not described in (2) through (4) below, for which no insured receives more than USD2,000 in total compensation for the 12 months before the beginning of the policy period;
 2. volunteer activities for which no money is received other than payment for expenses incurred to perform the activity;
 3. providing home day care services for which no compensation is received, other than the mutual exchange of such services; or
 4. the rendering of home day care services to a relative of an **insured**.
 2. **Insured** means:
 - a. **you** and residents of **your** household who are:
 1. **your** relatives; or
 2. other persons under the age of 21 and in **your** care or the care of a resident of **your** household who is **your** relative;
 - b. a student enrolled in school full-time, as defined by the school, who was a resident of **your**

household before moving out to attend school, provided the student is under the age of:

1. 24 and **your** relative; or
2. 21 and in **your** care or the care of a resident of **your** household who is **your** relative; or

When the word **an** immediately precedes the word **insured**, the words **an insured** together mean one or more **insureds**.

3. **Pollutants** means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
4. **Residence premises** means the family dwelling where you reside or rent to others and which is shown as the **residence premises** in the declarations.

Residence premises also includes other structures and grounds at that location.

5. **Flood** means a general and temporary condition of partial or complete inundation of normally dry land areas due to the unusual or rapid accumulation or runoff of surface waters from any source including, waves, tidal wave, tsunami, tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge).

Flood includes mudflow.

All flooding in a continuous or protracted event will constitute a single flood.

6. **Other structures** means any permanent structure within the grounds of the residence premises set apart from the dwelling by clear space. This includes:
 - a. structures connected to the dwelling by only a fence, utility line or similar connection;
 - b. garages used for domestic purposes;
 - c. terraces, patios, driveways, footpaths and walls.

7. **Mudflow** means a rapid movement of liquid and flowing mud caused by earth being saturated and carried by a current of water.

We do not include within this definition other earth movements such as landslide, mudslide or slope failure.

Coverages

a. Coverage A - dwelling

1. **We** cover:
 - a. the dwelling on the **residence premises** shown in the declarations, including structures attached to the dwelling; and
 - b. materials and supplies located on or next to the **residence premises** used to construct, alter or repair the dwelling or other structures on the **residence premises**.
2. **We** do not cover land, including land on which the dwelling is located.

b. Coverage B - other structures

1. **We** cover other structures on the residence premises set apart from the dwelling by clear space. This includes structures connected to the dwelling by only a fence, utility line, or similar connection.
2. **We** do not cover:
 - a. land, including land on which the other structures are located;
 - b. other structures rented or held for rental to any person not a tenant of the dwelling, unless used solely as a private garage;
 - c. other structures from which any **business** is conducted; or
 - d. other structures used to store **business** property. However, **we** do cover a structure that contains business property solely owned by an **insured** or a tenant of the dwelling, provided that **business** property does not include gaseous or liquid fuel, other than fuel in a permanently installed fuel tank of a vehicle or craft parked or stored in the structure.
 - e. hot tubs and spas that are not bathroom fixtures, swimming pools and their equipment including but not limited to heaters, filters, pumps and pipes;
 - f. fences, retaining walls, culverts, ripraps, seawalls, bulkheads, wharves, piers, bridges or docks.
3. The limit of liability for this coverage will not be more than 10% of the limit of liability that applies to Coverage A. Use of this coverage does not reduce the Coverage A limit of liability.

c. Coverage C - personal property

1. Covered property

We cover personal property owned or used by an **insured** while it is anywhere in the world. After a loss and at your request, **we** will cover personal property owned by:

- a. others while the property is on the part of the **residence premises** occupied by an **insured**; or
- b. a guest or a residence employee, while the property is in any residence occupied by an **insured**.

2. Limit for property at other locations

a. Other residences

Our limit of liability for personal property usually located at an **insured's** residence, other than the **residence premises**, is 10% of the limit of liability for Coverage C, or USD1,000, whichever is greater. However, this limitation does not apply to personal property:

1. moved from the **residence premises** because it is:
 - a. being repaired, renovated or rebuilt; and
 - b. not fit to live in or store property in;

2. on a newly acquired principal residence for 30 days from the time you begin to move the property there.

b. Self-storage facilities

Our limit of liability for personal property owned or used by an **insured** and located in a self-storage facility is 10% of the limit of liability for Coverage C, or USD1,000, whichever is greater. However, this limitation does not apply to personal property moved from the **residence premises** because it is:

- a. being repaired, renovated or rebuilt; and
- b. not fit to live in or store property in.

3. Special limits of liability

The special limit for each category shown below is the total limit for each loss for all property in that category. These special limits do not increase the Coverage C limit of liability.

- a. USD200 on money, bank notes, bullion, gold other than goldware, silver other than silverware, platinum other than platinumware, coins, medals, scrip, stored value cards and smart cards.
- b. USD1,500 on securities, accounts, deeds, evidences of debt, letters of credit, notes other than bank notes, manuscripts, personal records, passports, tickets and stamps. This Dollar limit applies to these categories regardless of the medium (such as paper or computer software) on which the material exists.

This limit includes the cost to research, replace or restore the information from the lost or damaged material.

- c. USD1,500 on trailers or semitrailers.
- d. USD2,500 on jewelry, watches, furs and garments trimmed with or consisting principally of fur, precious and semiprecious stones.
- e. USD2,500 on cameras, projection machines, films and related articles of equipment;
- f. USD2,500 on musical equipment and related articles of equipment
- g. USD2,500 on golf clubs and golf equipment;
- h. USD2,500 on antiques, fine arts, paintings and similar articles of rarity or antiquity, which cannot be replaced, memorabilia, souvenirs, collectors' items and similar articles, whose age or history contribute to their value
- i. USD2,500 on silverware, silver-plated ware, goldware, gold-plated ware, platinumware, platinum-plated ware and pewterware. This includes flatware, hollowware, tea sets, trays and trophies made of or including silver, gold or pewter.
- j. USD2,500 on property, on the **residence premises**, used primarily for **business** purposes.
- k. USD1,500 on property, away from the **residence premises**, used primarily for **business** purposes. However, this limit does not apply to antennas, tapes, wires, records, disks or

other media that are:

1. used with electronic equipment that reproduces, receives or transmits audio, visual or data signals; and
2. in or upon a motor vehicle.

l. USD250 on portable electronic equipment that:

1. reproduces, receives or transmits audio, visual or data signals;
2. is designed to be operated by more than one power source, one of which is a motor vehicle's electrical system; and
3. is in or upon a motor vehicle.

m. USD250 for antennas, tapes, wires, records, disks or other media that are:

1. used with electronic equipment that reproduces, receives or transmits audio, visual or data signals; and
2. In or upon a motor vehicle.

4. **Property not covered**

We do not cover:

- a. articles separately described and specifically insured, regardless of the limit for which they are insured, in this or other insurance;
- b. animals, birds or fish;
- c. motor vehicle.

This includes a motor vehicle's equipment and parts; However, this paragraph 4.c. does not apply to:

Motor vehicles not required to be registered for use on public roads or property which are:

1. used solely to service a residence; or
2. designed to assist the handicapped;

- d. aircraft, meaning any contrivance used or designed for flight, including any parts whether or not attached to the aircraft.

We do cover model or hobby aircraft not used or designed to carry people or cargo;

- e. hovercraft or watercraft including their engines, parts, furnishings and equipment;

Hovercraft means a self-propelled motorized ground effect vehicle and includes, but is not limited to, flarecraft and air cushion vehicles;

- f. property of roomers, boarders and other tenants, except property of roomers and boarders related to an **insured**;

- g. property in an apartment regularly rented or held for rental to others by an insured;
- h. property rented or held for rental to others off the **residence premises**;
- i. **business** data, including such data stored in:
 - 1. books of account, drawings or other paper records; or
 - 2. computers and related equipment.

We do cover the cost of blank recording or storage media and of pre-recorded computer programs available on the retail market;

- j. credit cards, electronic fund transfer cards or access devices used solely for deposit, withdrawal or transfer of funds;
- k. hot tubs and spas that are not bathroom fixtures, swimming pools and their equipment including but not limited to heaters, filters, pumps and pipes; or
- l. water or steam.

d. **Coverage D - optional cover for loss of use**

The limit of liability stated in the declarations for Coverage D is the total limit for the coverages in 1. Additional living expense, 2. Fair rental value below.

1. **Additional living expense**

If a loss covered under this insurance makes that part of the **residence premises** where **you** reside not fit to live in, **we** cover any necessary increase in living expenses incurred by **you** so that **your** household can maintain its normal standard of living.

Payment will be for the shortest time required to repair or replace the damage or, if **you** permanently relocate, the shortest time required for **your** household to settle elsewhere.

2. **Fair rental value**

If a loss covered under this insurance makes that part of the **residence premises** rented to others or held for rental by **you** not fit to live in, **we** cover the fair rental value of such premises less any expenses that do not continue while it is not fit to live in.

Payment will be for the shortest time required to repair or replace such premises.

3. **Loss or expense not covered**

We do not cover loss or expense due to cancellation of a lease or agreement.

The periods of time under 1. Additional living expense, 2. Fair rental value prohibits use above are not limited by expiration of this policy.

e. **Additional coverages**

1. **Debris removal**

- a. **We** will pay **your** reasonable expense for the removal of debris on the **residence premises**.

This expense is included in the limit of liability that applies to the damaged property. If the amount to be paid for the actual damage to the property plus the debris removal expense

is more than the limit of liability for the damaged property, an additional 5% of that limit or USD10,000, whichever the lesser, is available for such expense.

- b. **We** will also pay **your** reasonable expense, up to USD1,000, for the removal from the **residence premises** of **your** trees or a neighbors trees felled by a **flood** provided the trees:
1. damage a covered structure; or
 2. do not damage a covered structure, but:
 - a. block a driveway on the **residence premises** which prevents a motor vehicle, that is registered for use on public roads or property, from entering or leaving the **residence premises**; or
 - b. block a ramp or other fixture designed to assist a handicapped person to enter or leave the dwelling building.

The USD1,000 limit is the most **we** will pay in any one loss, regardless of the number of fallen trees. No more than USD500 of this limit will be paid for the removal of any one tree.

This coverage does not increase the maximum limit of liability shown in the declarations page.

2. **Prevention of loss**

- a. **We** will pay the reasonable cost incurred by **you** for the necessary measures taken solely to protect covered property that is damaged by **flood** from further damage. This includes up to USD2,500 towards the reasonable cost incurred by **you** to protect the **residence premises** in imminent danger of **flood**.
- b. If the measures taken involve repair to other damaged property, **we** will only pay if that property is covered under this policy and the damage is caused by a **flood**. This coverage does not:
 1. increase the limit of liability that applies to the covered property; or
 2. relieve **you** of **your** duties, in case of a loss to covered property, described in C.4. under Conditions.

3. **Mold prevention costs**

You must take all reasonable measures to prevent mold growing in home after a **flood** has receded. Reasonable measures include but are not limited to inspecting the **residence premises** ; removing as much floodwater and damaged property from **your** home as **you** can; using dehumidifiers, fans or heaters to dry out **your** home; contacting a mold remediation company or water damage specialist who perform clean ups of flooded homes.

We will pay up to USD2,500 for the reasonable and necessary cost and expenses that **you** incur to carry out the above measures.

4. **Trees, shrubs and other plants**

We cover trees on the **residence premises** felled by **flood** together with **your** shrubs, plants or lawns on the **residence premises** lost as a result of such **flood**.

We

will pay up to USD5,000 for all trees, shrubs, plants or lawns. No more than USD250 of this limit will be paid for lawns, any one tree, shrub or plant. **We** do not cover property grown for **business** purposes.

This coverage does not increase the maximum limit of liability shown in the declarations page.

5. **Loss assessment**

- a. **We** will pay up to USD1,000 for **your** share of loss assessment charged during the policy period against **you**, as owner or tenant of the residence premises, by a corporation or association of property owners. The assessment must be made as a result of direct loss to property, owned by all members collectively, of the type that would be covered by this policy if owned by **you**, caused by flood.

The limit of USD1,000 is the most **We** will pay with respect to any one loss, regardless of the number of assessments. **We** will only apply one deductible, per unit, to the total amount of any one loss to the property described above, regardless of the number of assessments.

- b. **We** do not cover assessments charged against **you** or a corporation or association of property owners by any governmental body.

This coverage does not increase the maximum limit of liability shown in the declarations page.

6. **Ordinance or law**

- a. **You** may use up to USD30,000 or 5% of the limit of liability that applies to Coverage A, whichever is greater, for the increased costs **you** incur due to the enforcement of any ordinance or law which requires or regulates:

1. the construction, demolition, remodeling, renovation or repair of that part of a covered building or other structure damaged by a **flood**;
2. the demolition and reconstruction of the undamaged part of a covered building or other structure, when that building or other structure must be totally demolished because of damage by a **flood** to another part of that covered building or other structure; or
3. the remodeling, removal or replacement of the portion of the undamaged part of a covered building or other structure necessary to complete the remodeling, repair or replacement of that part of the covered building or other structure damaged by a **flood**.

- b. **You** may use all or part of this ordinance or law coverage to pay for the increased costs **you** incur to remove debris resulting from the construction, demolition, remodeling, renovation, repair or replacement of property as stated in a. above.

- c. **We** do not cover:

1. the loss in value to any covered building or other structure due to the requirements of any ordinance or law; or
2. the costs to comply with any ordinance or law which requires any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, **pollutants** in or on any covered building or other structure.

This coverage does not increase the maximum limit of liability shown in the declarations page.

7. **Grave markers**

We will pay up to USD5,000 for grave markers, including mausoleums, on or away from the **residence premises** for loss caused by a **flood**.

This coverage does not increase the limits of liability that apply to the damaged covered property.

Peril insured against

We insure against direct physical loss or physical damage occurring during the period of this policy to the property described in this policy which is caused by **flood**.

Exclusions

We do not insure for loss caused directly or indirectly by any of the following. Such loss is excluded regardless of any other cause or event contributing concurrently or in any sequence to the loss. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

Loss caused by any of the following:

1. **Debris removal**

Discharge, dispersal, seepage, migration, release or escape of **pollutants** unless the discharge, dispersal, seepage, migration, release or escape is the direct and immediate result of **flood**.

2. **Mudslide or mudflow** unless such mudslide or mudflow are the direct and immediate result of **flood**.

3. **Ordinance or law**

Ordinance or law means any ordinance or law:

- a. requiring or regulating the construction, demolition, remodeling, renovation or repair of property, including removal of any resulting debris. This exclusion 3.a. does not
- b. the requirements of which result in a loss in value to property; or
- c. requiring any **insured** or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, **pollutants**.

4. **Earth movement**

Earth movement means:

- a. earthquake, including land shock waves or tremors before, during or after a volcanic eruption;
- b. landslide;
- c. subsidence, landslide, slope failure or sinkhole; or
- d. gradual erosion or any other earth movement including earth sinking, rising or shifting.

This exclusion applies regardless of whether any of the above, in a. through to d., is caused by an act of nature or is otherwise caused.

5. **Water**

This means:

a. water which:

1. backs up through sewers or drains; or
2. overflows or is otherwise discharged from a sump, sump pump or related equipment;

b. water below the surface of the ground, including water which exerts pressure on, or seeps, leaks or flows through a building, sidewalk, driveway, patio, foundation, swimming pool or other structure.

This exclusion 5. does not apply if any of the above, in 5.a. through 5.b, is caused solely and directly by **flood**.

6. **Power failure**

Power failure means the failure of power or other utility service if the failure takes place off the **residence premises**. But if the failure results in a loss from a **flood** on the **residence premises** we will pay for the loss caused by such **flood**.

7. **Neglect**

Neglect means neglect of an **insured** to use all reasonable means to save and preserve property at and after the time of a loss.

8. **Intentional loss**

Intentional Loss means any loss arising out of any act an **insured commits or conspires to commit with the intent to cause a loss**.

In the event of such loss, no insured is entitled to coverage, even insureds who did not commit or conspire to commit the act causing the loss.

9. **Mold**

Mold, mildew, fungus, spores or other microorganism of any type, nature or description, including but not limited to any substance whose presence poses an actual or potential threat to human health that:

- a. is substantially confined to the dwelling;
- b. results from **your** failure to take reasonable measures to prevent mold growing in **your** home after a **flood** has receded.

Reasonable measures include but are not limited to inspecting the **residence premises**, removing as much floodwater and damaged property from **your** home as **you** can; using dehumidifiers, fans or heaters to dry out **your** home; contacting a mold remediation company or water damage specialist who perform clean-ups of flooded homes.

10. **Governmental action**

Governmental action means the destruction, confiscation or seizure of property described in this policy by order of any governmental or public authority.

11. **Flood prior to inception**

Flood that is already in progress at the inception date of this insurance.

Conditions

- a. **Insurable interest and limit of liability** Even if more than one person has an insurable interest in

the property covered, **we** will not be liable in any one loss:

1. to an **insured** for more than the amount of such **insured's** interest at the time of loss; or
2. for more than the applicable limit of liability.

b. Deductible

Unless otherwise noted in this policy, the following deductible provision applies:

With respect to any one loss:

1. subject to the applicable limit of liability, **we** will pay only that part of the total of all loss payable that exceeds the deductible amount shown in the declarations.
2. If two or more deductibles under this policy apply to the loss, only the highest deductible amount will apply.

c. Duties after loss

In case of a loss to covered property, **we** have no duty to provide coverage under this policy if the failure to comply with the following duties is prejudicial to **us**. These duties must be performed either by **you**, an **insured** seeking coverage, or a representative of either:

1. give prompt notice to **us** or **our** agent;
2. protect the property from further damage. If repairs to the property are required, **you** must:
 - a. make reasonable and necessary repairs to protect the property; and
 - b. keep an accurate record of repair expenses;
3. co-operate with **us** in the investigation of a claim;
4. prepare an inventory of damaged personal property showing the quantity, description, actual cash value and amount of loss. Attach all bills, receipts and related documents that justify the figures in the inventory;
5. as often as **we** reasonably require:
 - a. show the damaged property;
 - b. provide **us** with records and documents **we** request and permit **us** to make copies; and
 - c. submit to examination under oath, while not in the presence of another **insured**, and sign the same;
6. send to **us**, within 60 days after **our** request, **your** signed, sworn proof of loss which sets forth, to the best of **your** knowledge and belief:
 - a. the time and cause of loss;
 - b. the interests of all **insureds** and all others in the property involved and all liens on the property;
 - c. other insurance which may cover the loss;
 - d. changes in title or occupancy of the property during the term of the policy;

- e. specifications of damaged buildings and detailed repair estimates;
- f. the inventory of damaged personal property;
- g. receipts for additional living expenses incurred and records that support the fair rental value loss.

d. Loss settlement

In this condition D., the terms **cost to repair or replace** and **replacement cost** do not include the increased costs incurred to comply with the enforcement of any ordinance or law, except to the extent that coverage for these increased costs is provided in e.7. Ordinance or law under Section I – Property coverages. Covered property losses are settled as follows:

1. property of the following types:

- a. personal property;
- b. awnings, carpeting, household appliances, outdoor antennas and outdoor equipment, whether or not attached to buildings;
- c. structures that are not buildings; and
- d. grave markers, including mausoleums;

at actual cash value at the time of loss but not more than the amount required to repair or replace.

2. buildings covered under Coverage A or B at the cost to repair or replace without deduction for depreciation but not more than the least of the following amounts:

- a. the limit of liability under this policy that applies to the building;
- b. the replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
- c. the necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in (2) above is limited to the cost which would have been incurred if the building had been built at the original premises.

We will pay no more than the actual cash value of the damage until actual repair or replacement is complete. Once actual repair or replacement is complete, **we** will settle the loss as noted above.

You may disregard the replacement cost loss settlement provisions and make claim under this policy for loss to buildings on an actual cash value basis. **You** may then make claim for any additional liability according to the provisions of this condition D. Loss Settlement, provided **you** notify **us**, within 180 days after the date of loss, of **your** intent to repair or replace the damaged building.

e. Loss to a pair or set

In case of loss to a pair or set **we** may elect to:

- 1. repair or replace any part to restore the pair or set to its value before the loss; or
- 2. pay the difference between actual cash value of the property before and after the loss.

f. **Appraisal**

If **you** and **we** fail to agree on the amount of loss, either may demand an appraisal of the loss. In this event, each party will choose a competent and impartial appraiser within 20 days after receiving a written request from the other. The two appraisers will choose an umpire. If they cannot agree upon an umpire within 15 days, **you** or **we** may request that the choice be made by a judge of a court of record in the state where the **residence premises** is located. The appraisers will separately set the amount of loss. If the appraisers submit a written report of an agreement to **us**, the amount agreed upon will be the amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will set the amount of loss.

Each party will:

1. pay its own appraiser; and
2. bear the other expenses of the appraisal and umpire equally.

g. **Other insurance and service agreement**

If a loss covered by this policy is also covered by:

1. other insurance, **we** will pay only the proportion of the loss that the limit of liability that applies under this policy bears to the total amount of insurance covering the loss; or
2. a service agreement, this insurance is excess over any amounts payable under any such agreement. Service agreement means a service plan, property restoration plan, home warranty or other similar service warranty agreement, even if it is characterized as insurance.

h. **Suit against us**

No action can be brought against **us** unless there has been full compliance with all of the terms under this policy and the action is started within 12 months from the date of **our** written denial of all or part of **your** claim.

i. **Our option**

If **we** give **you** written notice within 30 days after **we** receive **your** signed, sworn proof of loss, **we** may repair or replace any part of the damaged property with material or property of like kind and quality.

j. **Loss payment**

We will adjust all losses with **you**. **We** will pay **you** unless some other person is named in the policy or is legally entitled to receive payment. Loss will be payable 60 days after **we** receive **your** proof of loss and:

1. reach an agreement with **you**;
2. there is an entry of a final judgment; or
3. there is a filing of an appraisal award with **us**.

k. **Abandonment of property**

We need not accept any property abandoned by an **insured**.

l. **Mortgage clause**

1. If a mortgagee is named in this policy, any loss payable under Coverage A or B will be paid to the mortgagee and **you**, as interests appear. If more than one mortgagee is named, the order of payment will be the same as the order of precedence of the mortgages.

2. If we deny **your** claim, that denial will not apply to a valid claim of the mortgagee, if the mortgagee:
 - a. notifies **us** of any change in ownership, occupancy or substantial change in risk of which the mortgagee is aware;
 - b. pays any premium due under this policy on demand if **you** have neglected to pay the premium; and
 - c. submits a signed, sworn statement of loss within 60 days after receiving notice from **us** of **your** failure to do so. Paragraphs g. Appraisal, l. Suit against **us** and k. Loss payment under Conditions also apply to the mortgagee.
3. If **we** decide not to renew or to cancel this policy, the mortgagee will be notified at least 30 days, or the minimum number of days required by law, before the date nonrenewal or cancellation takes effect.
4. If **we** pay the mortgagee for any loss and deny payment to **you**:
 - a. **we** are subrogated to all the rights of the mortgagee granted under the mortgage on the property; or
 - b. at **our** option, **we** may pay to the mortgagee the whole principal on the mortgage plus any accrued interest. In this event, **we** will receive a full assignment and transfer of the mortgage and all securities held as collateral to the mortgage debt.
5. Subrogation will not impair the right of the mortgagee to recover the full amount of the mortgagee's claim.

m. **No benefit to bailee**

We will not recognize any assignment or grant any coverage that benefits a person or organization holding, storing or moving property for a fee regardless of any other provision of this policy.

n. **Recovered property**

If **you** or **we** recover any property for which **we** have made payment under this policy, **you** or **we** will notify the other of the recovery. At **your** option, the property will be returned to or retained by **you** or it will become **our** property. If the recovered property is returned to or retained by **you**, the loss payment will be adjusted based on the amount **you** received for the recovered property.

o. **Policy period**

This policy applies only to loss which occurs during the policy period.

p. **Concealment or fraud**

No coverage is provided under this policy if, whether before or after a loss, an **insured** has:

1. intentionally concealed or misrepresented any material fact or circumstance;
2. engaged in fraudulent conduct; or
3. made false statements;

relating to this insurance.

q. **Loss payable clause**

If the declarations shows a loss payee for certain listed **insured** personal property, the definition of

insured is changed to include that loss payee with respect to that property.

If **we** decide to cancel this policy, that loss payee will be notified in writing.

r. **Waiver or change of policy provisions**

A waiver or change of a provision of this policy must be in writing by **us** to be valid. **Our** request for an appraisal or examination will not waive any of **our** rights.

s. **Cancellation**

1. **You** may cancel this policy at any time by returning it to **us** or by letting **us** know in writing of the date cancellation is to take effect.
 2. **We** may cancel this policy only for the reasons stated below by letting **you** know in writing of the date cancellation takes effect. This cancellation notice may be delivered to **you**, or mailed to **you** at **your** mailing address shown in the declarations. Proof of mailing will be sufficient proof of notice:
 - a. when **you** have not paid the premium, **we** may cancel at any time by letting **you** know at least ten days, or the minimum number of days required by law, before the date cancellation takes effect;
 - b. when this policy has been in effect for less than 60 days and is not a renewal with **us**, **we** may cancel for any reason by letting **you** know at least 10 days, or the minimum number of days required by law, before the date cancellation takes effect;
 - c. when this policy has been in effect for 60 days or more, or at any time if it is a renewal with **us**, **we** may cancel:
 1. if there has been a material misrepresentation of fact which if known to **us** would have caused **us** not to issue the policy; or
 2. if the risk has changed substantially since the policy was issued.

This can be done by letting **you** know at least 30 days, or the minimum number of days required by law, before the date cancellation takes effect.

 - d. when this policy is written for a period of more than one year, **we** may cancel for any reason at anniversary by letting **you** know at least 30, or the minimum number of days required by law, before the date cancellation takes effect.
3. when this policy is canceled, the premium for the period from the date of cancellation to the expiration date will be refunded pro-rata.
 4. if the return premium is not refunded with the notice of cancellation or when this policy is returned to **us**, **we** will refund it within a reasonable time after the date cancellation takes effect.

t. **Assignment**

Assignment of this policy will not be valid unless **we** give **our** written consent.

u. **Subrogation**

An **insured** may waive in writing before a loss all rights of recovery against any person. If not waived, **we** may require an assignment of rights of recovery for a loss to the extent that payment is made by **us**.

If an assignment is sought, an **insured** must sign and deliver all related papers and co-operate with **us**.

v. **Death**

If any person named in the declarations or the spouse, if a resident of the same household, dies, the following apply:

1. **we** insure the legal representative of the deceased but only with respect to the premises and property of the deceased covered under the policy at the time of death; and
2. **insured** includes:
 - a. an **insured** who is a member of **your** household at the time of **your** death, but only while a resident of the **residence premises**; and
 - b. with respect to **your** property, the person having proper temporary custody of the property until appointment and qualification of a legal representative.

w. **Service of suit**

In the event of **our** failure to pay any amount claimed to be due under this insurance, **we**, at **your** request, will submit to the jurisdiction of a court of competent jurisdiction within the United States. Nothing in this clause constitutes or should be understood to constitute a selection of controlling law or a waiver of **our** rights to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District court, or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. It is further agreed that service of process in such suit may be made upon the attorney named in this insurance and that in any suit instituted against any one of **us**, **we** will abide by the final decision of such court or of any appellate court in the event of an appeal.

The attorney named in this insurance is authorized and directed to accept service of process on **our** behalf in any such suit and/or upon **your** request to give a written undertaking to **you** that they will enter a general appearance upon **our** behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefore, **we** hereby designate the superintendent, commissioner or director of insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as **our** true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of **you** or any beneficiary hereunder arising out of this contract of insurance, and hereby designate the attorney named in this insurance as the person to whom the said officer is authorized to mail such process or a true copy thereof.

x. **Insurers' several shares**

Each insurer underwriting a share of the limits in this policy has a several liability for that share that is not joint and is limited solely to that insurer's individual subscription. Each insurer is not responsible for the subscription of any other Insurer who for any reason does not satisfy all or part of its obligations.

y. **Sanctions**

We shall not provide any benefit under this policy to the extent of providing cover, payment of any claim or the provision of any benefit where doing so would breach any sanction, prohibition or restriction imposed by law or regulation.

\. **Governing law**

This policy is governed by the state law of the court having jurisdiction as determined by the provisions of the above service of suit clause.

Private Flood Insurance
Advisory notice (Biggert-Waters Act)

Please note flood insurance is also available through the National Flood Insurance Program.

This policy meets the definition of private flood insurance contained in 42 U.S.C. 4012a(b)(7) and the corresponding regulation.

This insurance policy:

- is issued by an insurer that is approved to engage in the business of insurance in the State in which the insured building is located by the insurance regulator of that State;
- provides flood insurance coverage which is at least as broad as the coverage provided under a standard flood insurance policy under the national flood insurance program;
- includes a requirement for the insurer to give 45 days' written notice of cancellation or non-renewal of flood insurance coverage to the insured and the regulated lending institution of Federal agency lender;
- includes:
 1. information about the availability of flood insurance coverage under the national flood insurance program;
 2. a mortgage interest clause similar to the clause contained in a standard flood insurance policy under the national flood insurance program; and
 3. provision requiring an insured to file suit not later than one year after date of a written denial of all or part of a claim under this policy;
- contains cancellation provisions that are as restrictive as the provisions contained in a standard flood insurance policy under the national flood insurance program.

Loss Settlement Endorsement — Buildings

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Condition d. - Loss settlement

Condition d. 2. under 'Loss settlement' is deleted and replaced by the following:

Buildings covered under Coverage A or B at the cost to repair or replace without deduction for depreciation, subject to the following:

- a. If, at the time of loss, the amount of insurance in this policy on the damaged building is 80% or more of the full replacement cost of the building immediately before the loss, **we** will pay the cost to repair or replace, without deduction for depreciation, but not more than the least of the following amounts:
 1. The limit of liability under this policy that applies to the building;
 2. The replacement cost of that part of the building damaged with material of like kind and quality and for like use; or
 3. The necessary amount actually spent to repair or replace the damaged building.

If the building is rebuilt at a new premises, the cost described in 2. above is limited to the cost which would have been incurred if the building had been built at the original premises.

- b. If, at the time of loss, the amount of insurance in this policy on the damaged building is less than 80% of the full replacement cost of the building immediately before the loss, **we** will pay the greater of the following amounts, but not more than the limit of liability under this policy that applies to the building:
 1. The actual cash value of that part of the building damaged; or
 2. That proportion of the cost to repair or replace, without deduction for depreciation, that part of the building damaged, which the total amount of insurance in this policy on the damaged building bears to 80% of the replacement cost of the building.
- c. To determine the amount of insurance required to equal 80% of the full replacement cost of the building immediately before the loss, do not include the value of:
 1. Excavations, footings, foundations, piers, or any other structures or devices that support all or part of the building, which are below the undersurface of the lowest basement floor;
 2. Those supports described in (1) above which are below the surface of the ground inside the foundation walls, if there is no basement; and
 3. Underground flues, pipes, wiring and drains.
- d. **We** will pay no more than the actual cash value of the damage until actual repair or replacement is complete. Once actual repair or replacement is complete, **we** will settle the loss as noted in a. and b. above.
However, if the cost to repair or replace the damage is both:
 1. Less than 5% of the amount of insurance in this policy on the building; and
 2. Less than \$2,500;

we will settle the loss as noted in a. and b. above whether or not actual repair or replacement is complete.

- e. **You** may disregard the replacement cost loss settlement provisions and make claim under this policy for loss to buildings on an actual cash value basis. **You** may then make claim for any additional liability according to the provisions of this Condition D. Loss Settlement, provided **you** notify **us**, within 180 days after the date of loss, of **your** intent to repair or replace the damaged building.

All other provisions of the policy not specifically modified by this endorsement apply.

Personal Property Replacement Cost Loss Settlement Endorsement

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

A. Eligible property

1. Covered losses to the following property are settled at replacement cost at the time of the loss:
 - a. Coverage C; and
 - b. If covered in this policy:
 1. Awnings, outdoor antennas and outdoor equipment; and
 2. Carpeting and household appliances; whether or not attached to buildings.
2. This method of loss settlement will also apply to the following articles or classes of property if they are separately described and specifically insured in this policy and not subject to agreed value loss settlement:
 - a. Jewelry;
 - b. Furs and garments:
 1. Trimmed with fur; or
 2. Consisting principally of fur;
 - c. Cameras, projection machines, films and related articles of equipment;
 - d. Musical equipment and related articles of equipment;
 - e. Silverware, silver-plated ware, goldware, gold-plated ware and pewterware, but excluding:
 1. Pens or pencils;
 2. Flasks;
 3. Smoking implements; or
 4. Jewelry; and
 - f. Golfer's equipment meaning golf clubs, golf clothing and golf equipment.

Personal Property Replacement Cost loss settlement will not apply to other classes of property separately described and specifically insured.

B. Ineligible property

Property listed below is not eligible for replacement cost loss settlement. Any loss will be settled at actual cash value at the time of loss but not more than the amount required to repair or replace.

1. Antiques, fine arts, paintings and similar articles of rarity or antiquity, which cannot be replaced.

2. Memorabilia, souvenirs, collectors items and similar articles, whose age or history contribute to their value.
3. Articles not maintained in good or workable condition.
4. Articles that are outdated or obsolete and are stored or not being used.

C. Replacement Cost Loss Settlement Condition

The following loss settlement condition applies to all property described in **A.** above:

1. We will pay no more than the least of the following amounts:
 - a. Replacement cost at the time of loss without deduction for depreciation;
 - b. The full cost of repair at the time of loss;
 - c. The limit of liability that applies to **Coverage C**, if applicable;
 - d. Any applicable special limits of liability stated in this policy; or
 - e. For loss to any item described in **A.2.a. - f.** above, the limit of liability that applies to the item.
2. If the cost to repair or replace the property described in A. above is more than \$500, we will pay no more than the actual cash value for the loss until the actual repair or replacement is complete.
3. You may make a claim for loss on an actual cash value basis and then make claim for any additional liability in accordance with this endorsement provided you notify us, within 180 days after the date of the loss, of your intent to repair or replace the damaged property.

All other provisions of this policy apply.

PPRCE — Personal Property Replacement Cost Endorsement

FLOOD LENDER'S ENDORSEMENT NUMBER 1

Requirement of 45 - Day Cancellation / Non-Renewal Notice

It is hereby noted and agreed that the insurer agrees to give 45 days' written notice of cancellation or non-renewal to the insured with respect to the flood insurance coverage. The notice of cancellation / non-renewal shall be mailed to both the insured and the lender.

It is further noted that agreed that the following sentence in 'NMA 1331 U.S.A. and Canada Cancellation Clause' is amended **from:**

This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 30 days thereafter, the cancellation shall be effective.

to the following:

This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 45 days thereafter, the cancellation shall be effective.

Lending Insurer
Date

Settlement Due Date –

In the absence of anything to the contrary, the Settlement Due Date shall be calculated as being 75 days from the end of the month in which this endorsement becomes effective

Allocation of Premium to coding to be as per original slip

FLOOD LENDER'S ENDORSEMENT NUMBER 2

Suit Against Us

It is hereby noted and agreed that any suit brought by the insured against us, regarding denial of all, or part of any claim against us, must be filed within 1 year after the date of written denial of all or part of the claim. This suit must be filed in the United States District Court of the District in which the insured property was located in at the time of the loss.

Lending Insurer
Date

Settlement Due Date –

In the absence of anything to the contrary, the Settlement Due Date shall be calculated as being 75 days from the end of the month in which this endorsement becomes effective

Allocation of Premium to coding to be as per original slip

U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully.**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.

ELECTRONIC DATA ENDORSEMENT B

1. Electronic Data Exclusion

Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

- a. This Policy does not insure loss, damage, destruction, distortion, erasure, corruption or alteration of ELECTRONIC DATA from any cause whatsoever (including but not limited to COMPUTER VIRUS) or loss of use, reduction in functionality, cost, expense of whatsoever nature resulting therefrom, regardless of any other cause or event contributin concurrently or in any other sequence to the loss.

ELECTRONIC DATA means facts, concepts and information converted to a form useable for communications, interpretation or processing by electronic and electromechanical data processing or electronically controlled equipment and includes programmes, software and other coded instructions for the processing and manipulation of data or the direction and manipulation of such equipment.

COMPUTER VIRUS means a set of corrupting, harmful or otherwise unauthorised instructions or code including a set of maliciously introduced unauthorised instructions or code, programmatic or otherwise, that propagate themselves through a computer system or network of whatsoever nature. COMPUTER VIRUS includes but is not limited to 'Trojan Horses', 'worms' and 'time or logic bombs'.

- b. However, in the event that a peril listed below results from any of the matters described in paragraph (a) above, this Policy, subject to all its terms, conditions and exclusion, will cover the physical damage occurrin during the Policy period to property insured by this Policy directly cause by such listed peril.

Listed Perils

Fire

Explosion

2. Electronic Data Processing Media Valuation

Notwithstanding any provision to the contrary within the Policy or any endorsement thereto, it is understood and agreed as follows:

Should electronic data processing media insured by this Policy suffer physical loss or damage insured by this Policy, then the basis of valuation shall be the cost of the blank media plus the costs of copying the ELECTRONIC DATA from back-up or from originals of a previous generation. These costs will not include research and engineierring nor any costs of recreating, gathering or assembling such ELECTRONIC DATA. If the media is not repaired, replaced or restored the basis of the valuation shall be the cost of the blank media. However this Policy does not insure any amount pertaining to the value of such ELECTRONIC DATA to the Assured or any other party, even if such ELECTRONIC DATA cannot be recreated, gathered or assembled.

25/01/01

NMA2915

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY

MINIMUM EARNED PREMIUM

If you decide to cancel this insurance before three months of cover have elapsed, **we** shall retain a minimum of 25% of the policy premium.

LLOYD'S PRIVACY POLICY STATEMENT

UNDERWRITERS AT LLOYD'S, LONDON

The Certain Underwriters at Lloyd's, London want you to know how we protect the confidentiality of your non-public personal information. We want you to know how and why we use and disclose the information that we have about you. The following describes our policies and practices for securing the privacy of our current and former customers.

INFORMATION WE COLLECT

The non-public personal information that we collect about you includes, but is not limited to:

- Information contained in applications or other forms that you submit to us, such as name, address, and social security number
- Information about your transactions with our affiliates or other third-parties, such as balances and payment history
- Information we receive from a consumer-reporting agency, such as credit-worthiness or credit history

INFORMATION WE DISCLOSE

We disclose the information that we have when it is necessary to provide our products and services. We may also disclose information when the law requires or permits us to do so.

CONFIDENTIALITY AND SECURITY

Only our employees and others who need the information to service your account have access to your personal information. We have measures in place to secure our paper files and computer systems.

RIGHT TO ACCESS OR CORRECT YOUR PERSONAL INFORMATION

You have a right to request access to or correction of your personal information that is in our possession.

CONTACTING US

If you have any questions about this privacy notice or would like to learn more about how we protect your privacy, please contact the agent or broker who handled this insurance. We can provide a more detailed statement of our privacy practices upon request.

Complaints Reporting and Documentation

Date: 9 January 2019

Audience

Managing agents and their representatives.

Introduction

To ensure that Lloyd's is able to monitor the resolution of complaints in a timely manner, reduce the administrative burden and ensure that we are able to comply with data protection requirements, managing agents are required to ensure that they and their representatives provide complaint documentation to us in a standardised format.

General Requirements

- All emails (with the exception of notification spreadsheets) must only contain data relating to a single policyholder.
- All email attachments must be password protected using the managing agent/ coverholder standard password provided to Lloyd's Complaints team.
- Policyholder name and policy number / claim number to be included in the body of the email to allow us to perform searches on documents submitted.
- Original complaints are to be provided with either the investigation ongoing letter or stage one response and not alone nor with the notification spreadsheet.
- With the exception of DOI complaints, Lloyd's Complaints team are not to be copied in to emails between managing agents and their representatives. Any additional documentation supplied that is not required will be deleted.
- All English language documents are to be submitted in pdf format. Non-English documents should be in Word format.

Notification of Complaints

- Subject line of email to state 'Notification Spreadsheet' NB This does not affect the automated email sent to Lloyd's by the managing agents' careSmart system.
- UK and International Notification spreadsheets are to be emailed to complaints-notification@lloyds.com and the email should only contain the spreadsheet and no other documentation.
- The spreadsheet name should not be amended from the standard names below and are to be saved as an .xls document. No additional columns are to be added to the spreadsheet:
 - UK complaints - Notification.xls
 - Italian complaints - Italy_Notification.xls
 - Australian complaints - Australia_Notification.xls
 - All other territories - International_Notification.xls

- No manual data checks will be performed on the spreadsheet and they will be loaded into careSmart as received.
- In the event that the spreadsheet fails to load successfully, the spreadsheet will be returned to the managing agent or their representative and they will be advised of the records that have failed to load and the reasons for this. Managing agents should resubmit the incorrect records only on the next spreadsheet. NB The complaint will not be classed as logged for performance oversight purposes until the correct spreadsheet is received.
- Multi-lead complaints must be notified once and confirmation provided of the syndicates on the case and their percentage split.

Summary Resolution Communications

- These are not to be provided until requested as part of the quarterly sample checking.

Investigation Ongoing Letter Issued

- Subject line of email to state 'Investigation Ongoing Letter – *policyholder name*'
- Body of email to confirm:
 - policy / claim number used to notify the complaint to Lloyd's
- Provide copy of original complaint and investigation ongoing letter

Stage One Response Issued

- Subject line of email to state 'Stage One Response – *policyholder name*'
- Body of email to confirm:
 - policy / claim number used to notify the complaint to Lloyd's
 - stage one decision (justified or not justified)
 - if justified, the grounds for justification and action taken, using Lloyd's standard options
 - redress payable
 - root cause of complaint (if not provided on notification spreadsheet)
 - coverholder (if not provided on notification spreadsheet)
- Provide copy of original complaint (if no investigation ongoing letter issued) and a copy of the stage one response.
- For complaints received via the telephone, a copy of the call or a transcript must be provided. For calls not made in English, please provide a summary of the complaints rather than the call.

Stage 2 Complaints

- Each Monday a report is emailed to each managing agent which provides details of all open cases that are being reviewed at Stage 2 together with the contact details for the complaints associate. Emails relating to these cases are to be sent to the relevant complaint associate direct and not to either the

complaints or notification mailboxes. Emails incorrectly sent to these email addresses may be delayed.

- Subject line of email to include Lloyd's complaints reference and the policyholder name
- Requests for additional information / agreement to proposed resolution to be responded to within the deadline provided by the Complaint Associate. The deadline provided will be dependent upon the regulatory deadline for the complaint.

Case Files

- Files are to be provided in chronological order in pdf format and with no duplicated documentation / emails.
- Policy schedule / document to be provided as a separate pdf documents.
- All documentation, including reports and call recordings pertinent to the case must be provided.
- Files too large to send in one email to be uploaded to secure store.



Policyholder Declaration

I would like the Sterling Complaints team to consider my complaint. I understand that:

- You will need to handle personal details about me, which could include sensitive information (for example, about health matters) in order to deal with my complaint effectively;
- You may need to exchange information about my complaint with other organisations (for example, to find out important facts relating to my case);

I, (name of policyholder) _____
authorize (name of representative) _____
to submit and pursue this complaint on my behalf.

Policyholder Details

Address:

Email:

Telephone:

Preferred Method of Contact (circle)

Letter / Email / Telephone

Representative Details

Address:

Email:

Telephone:

Preferred Method of Contact (circle)

Letter / Email / Telephone

Policyholder Signature

Date: / /



627.715 Flood insurance.—An authorized insurer may issue an insurance policy, contract, or endorsement providing personal lines residential coverage for the peril of flood or excess coverage for the peril of flood on any structure or the contents of personal property contained therein, subject to this section. This section does not apply to commercial lines residential or commercial lines nonresidential coverage for the peril of flood. An insurer may issue flood insurance policies, contracts, endorsements, or excess coverage on a standard, preferred, customized, flexible, or supplemental basis.

(1)(a) Except for excess flood insurance policies, policies issued under this section include:

1. Standard flood insurance, which must cover only losses from the peril of flood, as defined in paragraph (b), equivalent to that provided under a standard flood insurance policy under the National Flood Insurance Program. Standard flood insurance issued under this section must provide the same coverage, including deductibles and adjustment of losses, as that provided under a standard flood insurance policy under the National Flood Insurance Program.
2. Preferred flood insurance, which must include the same coverage as standard flood insurance but:
 - a. Include, within the definition of "flood," losses from water intrusion originating from outside the structure that are not otherwise covered under the definition of "flood" provided in paragraph (b).
 - b. Include coverage for additional living expenses.
 - c. Require that any loss under personal property or contents coverage that is repaired or replaced be adjusted only on the basis of replacement costs up to the policy limits.
3. Customized flood insurance, which must include coverage that is broader than the coverage provided under standard flood insurance.
4. Flexible flood insurance, which must cover losses from the peril of flood, as defined in paragraph (b), and may also include coverage for losses from water intrusion originating from outside the structure which is not otherwise covered by the definition of flood. Flexible flood insurance must include one or more of the following provisions:
 - a. An agreement between the insurer and the insured that the flood coverage is in a specified amount, such as coverage that is limited to the total amount of each outstanding mortgage applicable to the covered property.
 - b. A requirement for a deductible in an amount authorized under s. 627.701, including a deductible in an amount authorized for hurricanes.
 - c. A requirement that flood loss to a dwelling be adjusted in accordance with s. 627.7011(3) or adjusted only on the basis of the actual cash value of the property.
 - d. A restriction limiting flood coverage to the principal building defined in the policy.
 - e. A provision including or excluding coverage for additional living expenses.
 - f. A provision excluding coverage for personal property or contents as to the peril of flood.
5. Supplemental flood insurance, which may provide coverage designed to supplement a flood policy

obtained from the National Flood Insurance Program or from an insurer issuing standard or preferred flood insurance pursuant to this section. Supplemental flood insurance may provide, but need not be limited to, coverage for jewelry, art, deductibles, and additional living expenses.

(b) "Flood" means a general and temporary condition of partial or complete inundation of two or more acres of normally dry land area or of two or more properties, at least one of which is the policyholder's property, from:

1. Overflow of inland or tidal waters;
2. Unusual and rapid accumulation or runoff of surface waters from any source;
3. Mudflow; or
4. Collapse or subsidence of land along the shore of a lake or similar body of water as a result of erosion or undermining caused by waves or currents of water exceeding anticipated cyclical levels that result in a flood as defined in this paragraph.

(2) Flood coverage deductibles and policy limits pursuant to this section must be prominently noted on the policy declarations page or face page.

(3)(a) An insurer may establish and use flood coverage rates in accordance with the rate standards provided in s. 627.062.

(b) For flood coverage rates filed with the office before October 1, 2025, the insurer may also establish and use such rates in accordance with the rates, rating schedules, or rating manuals filed by the insurer with the office which allow the insurer a reasonable rate of return on flood coverage written in this state. Flood coverage rates established pursuant to this paragraph are not subject to s. 627.062(2)(a) and (f). An insurer shall notify the office of any change to such rates within 30 days after the effective date of the change. The notice must include the name of the insurer and the average statewide percentage change in rates. Actuarial data with regard to such rates for flood coverage must be maintained by the insurer for 2 years after the effective date of such rate change and is subject to examination by the office. The office may require the insurer to incur the costs associated with an examination. Upon examination, the office, in accordance with generally accepted and reasonable actuarial techniques, shall consider the rate factors in s. 627.062(2)(b), (c), and (d), and the standards in s. 627.062(2)(e), to determine if the rate is excessive, inadequate, or unfairly discriminatory. If the office determines that a rate is excessive or unfairly discriminatory, the office shall require the insurer to provide appropriate credit to affected insureds or an appropriate refund to affected insureds who no longer receive coverage from the insurer.

(4) In addition to any other applicable requirements, an insurer providing flood coverage that is not excess coverage in this state must:

(a) Notify the office at least 30 days before writing flood insurance in this state; and

(b) File a plan of operation and financial projections or revisions to such plan, as applicable, with the office.

(5) Citizens Property Insurance Corporation may not provide insurance for the peril of flood.

(6) The Florida Hurricane Catastrophe Fund may not provide reimbursement for losses proximately caused by the peril of flood, including losses that occur during a covered event as defined in s. 215.555(2)(b).

(7) An agent must provide a written notice to be signed by the applicant before the agent places flood insurance coverage with an admitted or surplus lines insurer for a property receiving flood insurance under the National Flood Insurance Program. The notice must notify the applicant that, if the applicant discontinues coverage under the National Flood Insurance Program which is provided at a subsidized rate, the full risk rate

for flood insurance may apply to the property if the applicant later seeks to reinstate coverage under the program.

(8) With respect to the regulation of flood coverage written in this state by authorized insurers, this section supersedes any other provision in the Florida Insurance Code in the event of a conflict.

(9) If federal law or rule requires a certification by a state insurance regulatory official as a condition of qualifying for private flood insurance or disaster assistance, the Commissioner of Insurance Regulation may provide the certification, and such certification is not subject to review under chapter 120.

(10)(a) An authorized insurer offering flood insurance may request the office to certify that a policy, contract, or endorsement provides coverage for the peril of flood which equals or exceeds the flood coverage offered by the National Flood Insurance Program. To be eligible for certification, such policy, contract, or endorsement must contain a provision stating that it meets the private flood insurance requirements specified in 42 U.S.C. s. 4012a(b) and may not contain any provision that is not in compliance with 42 U.S.C. s. 4012a(b).

(b) The authorized insurer or its agent may reference or include a certification under paragraph (a) in advertising or communications with an agent, a lending institution, an insured, or a potential insured only for a policy, contract, or endorsement that is certified under this subsection. The authorized insurer may include a statement that notifies an insured of the certification on the declarations page or other policy documentation related to flood coverage certified under this subsection.

(c) An insurer or agent who knowingly misrepresents that a flood policy, contract, or endorsement is certified under this subsection commits an unfair or deceptive act under s. 626.9541.